

Accounting Information Systems

Section 2

**Chapter Two: Overview of Transaction
Processing and Enterprise Resource
Planning Systems**

Prepared By. TA: Mostafa Fadeel

**Under the Supervision of
Dr: Hend El-Gamel**

1.1 Multiple-Choice Questions:

1. Which of the following is NOT a step in the data processing cycle?

- a. data collection
- b. data input
- c. data storage
- d. data processing

Answer: A

[Correct. Data collection is a part of data input and is therefore not a step in the data processing cycle.]

2. All of the information (name, GPA, major, etc.) about a particular student is stored in the same _____.

- a. file
- b. record
- c. attribute
- d. field

Answer: B [Correct. A record should include all information maintained by the system about a particular entity, such as a student.]

3. Which of the following would contain the total value of all inventory owned by an organization?

- a. source document
- b. general ledger
- c. cash budget

Answer: B

[Correct. The general ledger maintains summary information on inventory and every other general ledger account.]

4. Which of the following is most likely to be a general ledger control account?

- a. accounts receivable
- b. petty cash
- c. prepaid rent
- d. retained earnings

Answer: A

[Correct. Accounts receivable is typically made up of many individual customer accounts maintained in a subsidiary ledger. The total of all individual customer accounts in the subsidiary ledger is maintained in the accounts receivable control account in the general ledger.]

5. Which of the following documents is most likely to be used in the expenditure cycle?

- a. sales orders
- b. credit memo
- c. receiving report
- d. job time ticket

Answer: C

[Correct. A receiving report is an expenditure cycle document that is used to record the receipt of goods from suppliers. Companies pay their suppliers based on the goods received and recorded on the receiving report.]

6. Which of the following is LEAST likely to be a specialized journal?

- a. sales journal
- b. cash receipts journal
- c. prepaid insurance journal
- d. cash disbursements journal

Answer: C

[Correct. A specialized journal is used to record large numbers of repetitive transactions, and most companies have very few prepaid insurance transactions.]

7. How does the chart of accounts list general ledger accounts?

- a. alphabetical order
- b. chronological order
- c. size order
- d. the order in which they appear in financial statements

Answer: D

8. Which of the following is NOT an advantage of an ERP system?

- a. better access control
- b. standardization of procedures and reports
- c. improved monitoring capabilities
- d. simplicity and reduced costs

Answer: D

[Correct. ERP systems are quite complex and costly; they do not offer the advantages of simplicity and reduced costs.]

9. Records of company data sent to an external party and then returned to the system as input are called _____.

- a. turnaround documents
- b. source data automation documents
- c. source documents
- d. external input documents

Answer: A

[Correct. For example, a utility bill is sent to a customer, who then returns the bill with payment.]

10. Recording and processing information about a transaction at the time it takes place is referred to as which of the following?

- a. batch processing
- b. online, real-time processing
- c. captured transaction processing
- d. chart of accounts processing

Answer: B

[Correct. Online, real-time processing involves processing transactions as they occur.]

1.2 Discussion Questions: “From Text Book”

2.1 Table 2-1 lists some of the documents used in the revenue, expenditure, and human resources cycle.

What kinds of input or output documents or forms would you find in the production (also referred to as the conversion) cycle?

Answer:

Here are some of those tasks

- Requests for items to be produced
- Documents to plan production
- Schedule of items to be produced
- List of items produced, including quantity and quality
- Form to allocate costs to products
- Form to collect time spent on production jobs
- Form requesting raw materials for production process
- Documents showing how much raw materials are on hand
- Documents showing how much raw materials went into production
- List of production processes
- List of items needed to produce each product

1.2 Discussion Questions: “From Text Book”

2.3 What kinds of documents are most likely to be turnaround documents? Do an Internet search to find the answer and to find example turnaround documents.

Answer:

Documents that are commonly used as turnaround documents include the following:

- Utility bills
- Meter cards for collecting readings from gas meters, photocopiers, water meters etc.
- Subscription renewal notices
- Inventory stock cards
- Invoices
- Checks (banks encode account info on the bottom of checks)
- Annual emissions inventory forms

1.3 Problems:

2.1 The chart of accounts must be tailored to an organization's specific needs. Discuss how the chart of accounts for the following organizations would differ from the one presented for S&S in Table 2-2.

a. university

b. bank

c. government unit (city or state)

d. manufacturing company

e. expansion of S&S to a chain of two stores

Answer:

A. University

- No equity or summary drawing accounts. Instead, have a fund balances section for each type of fund.
- Unlikely to have Notes Receivable, but may have Accounts Receivable for students who pay tuition in installment payments.
- Tuition and fees would be one source of revenue. Others include gifts, investment income, sales of services, and, for public universities, state appropriations.
- Student loans are an asset; student deposits are a liability.

B. Bank

- Loans to customers would be an asset, some current others noncurrent, depending upon the length of the loan.
- No inventory
- Customer accounts would be liabilities.

C. Government Unit

- No equity or summary drawing accounts. Instead, have fund balances.
- Balance sheet shows two major categories: (1) assets and (2) liabilities and fund equity.
- Separate chart of accounts for each fund (general fund, special revenue fund, capital projects fund, and debt service fund).

Answer:

D. Manufacturing Company

- Several types of inventory accounts (raw materials, work-in-process, and finished goods).
- Additional digits to code revenues and expenses by products and to code assets/liabilities by divisions.

E. Expansion of S&S

Additional digits to code:

- Revenues and expenses by products and by stores
- Assets/liabilities by stores.

1.3 Problems:

2.4 Your nursery sells various types and sizes of trees, bedding plants, vegetable plants, and shrubs. It also sells fertilizer and potting soil. Design a coding scheme for your nursery.

Answer:

Grading depends upon the instructor's judgment about the quality of the coding scheme.

The coding scheme should be either a group or block coding. In addition, the student's solutions should provide sufficient detail in order to determine whether the solution represents a group or block coding scheme.